Average Payment Period

The average payment period ratio or the creditor ratio indicates the time it takes a company to pay its trade creditors, i.e. the number of days' credit it enjoys. The ratio is calculated by dividing trade creditors by the average daily cost of goods sold:

$$\text{Average payment period} = \frac{\text{Trade creditors}}{\text{Average daily cost of goods sold}}$$

Illustration

True Steel Ltd. is a large company based in Pondicherry. Its financials indicated that its average trade creditors in the previous and latest year were Rs. 29 crore and Rs. 34 crore, respectively. Its cost of goods sold was Rs. 410 crore in the previous year and Rs. 425 crore in the current year.

Its average payment period would be:

$$\text{Previous Year} \quad \frac{29}{410 \times 365} = 26 \text{ days}$$

$$\text{Current Year} \quad \frac{34}{425 \times 365} = 29 \text{ days}$$

In this illustration, the average payment period ratio is low, though it has improved over the previous year. The investor should determine whether:

- The company is availing all the credit that it can.
- The company is having difficulty in procuring credit.
- The company is having difficulty in paying its creditors.

If the company is in a strong and commanding position, it can obtain longer credit terms. This is good since the company can effectively use creditors to finance its working capital and to that extent the cost of finance falls.

Net Working Investments Ratio

Net working investments are those assets that directly affect sales such as trade debtors, stocks and trade creditors. The ratio is calculated by dividing